This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

Mandiri Sekuritas Analyst

Henry Tedja, CFA
+6221 5296 9434
henry.tedja@mandirisekuritas.co.id

Danif Nouval Esfandiari
+6221 5296 9580
danif.esfandiari@mandirisekuritas.co.id

Sector: Telecom

BUY

Current Price	Rp2,150
Target Price	Rp2,500 (+16.3%)
52-wk range	Rp2,600 - Rp1,240

Stock Data

Bloomberg Code	ISAT IJ
Mkt.Cap (Rp bn/US$ mn)	69,339 / 4,108
Issued Shares (mn)	32,251
Avg. Daily T/O (Rp bn/US$ mn)	38.6/2.3

Key Financials

	2025F	2026F	2027F
EPS (Rp)	153	169	189
PE (x)	14.0	12.8	11.4
PBV (x)	2.0	1.9	1.8
EV/EBITDA (x)	4.8	4.7	4.4
EPS Growth (%)	0.6	10.1	12.3
Div. Yld (%)	4.3	5.5	6.2
ROAE (%)	14.3	15.0	16.1

4Q25 Results: Strong Earnings Beat

IOH booked Rp1.92tn earnings in 4Q25, up 86.1% YoY, leading to a strong earnings beat. This could be attributed to solid revenue growth and mainly due to lower D&A expenses as well as non-operational expenses. This solid result might also indicate purchasing power improvements, which should help IOH to sustain good momentum in the following quarters. Stay OW.

4Q25 Revenues of Rp15.4tn (+9.1% YoY, +9.3% QoQ), relatively in line with our estimate. Cellular revenue increased 8.4% YoY in 4Q25 vs. 1.5% YoY in 3Q25, while on a QoQ basis cellular revenue also increased 8.4%. Data revenue reversed its trend from a decline rate of 1.8% YoY in 3Q25 to an increase of 7.0% YoY in 4Q25, on the back of data traffic growth acceleration from 10.9% YoY in 3Q25 to 18.3% YoY in 4Q25. IOH saw its subscriber base declined 1.0% QoQ to 93.7mn in 4Q25, which we think could be due to low quality subs clean up. Meanwhile, blended ARPU increased 13.1% YoY/ 10.0% QoQ to Rp44.0k/month in 4Q25. Lastly, non-mobile revenues increased 12.5% YoY in 4Q25 as its MIDI and Fixed revenue components increased 12.8% YoY and 10.0% YoY respectively in the same period. On a 12-month basis, IOH booked **Rp56.5tn Revenues in FY25, up 1.1% YoY**, and forming 100.8%/100.3% of our/consensus' FY25 Revenue estimate.

4Q25 EBITDA of Rp7.25tn (+13.7% YoY, +11.6% QoQ), relatively in line with our estimate. Cash opex increased 5.3% YoY in 4Q25, mainly driven by higher Cost of Services and Personnel expenses. To note, Cost of Services increased 3.9% YoY in 4Q25, while Personnel expenses increased 19.2% YoY in the same period. Meanwhile, Marketing expenses declined 12.0% YoY in 4Q25. Lastly, G&A expenses increased 25.5% YoY in the same period. As a result, EBITDA margin improved 191bps YoY/ 100bps QoQ to 47.2% in 4Q25. On a 12-month basis, IOH booked **Rp26.6tn EBITDA in FY25, up 0.8% YoY**, and forming 100.3%/99.8% of our/consensus' FY25 EBITDA estimate.

D&A expenses were flat YoY in 4Q25, possibly attributable to lower capex spending at 5.1% YoY in the same period. **Operating Profit reached Rp3.30tn in 4Q25, up 35.9% YoY**, beating our estimate by 5.2%, implying an operating margin increase to 21.5% in 4Q25 from 17.3% in 4Q24. On a 12-month basis, IOH booked **Rp10.8tn Operating Profit in FY25, down 0.5% YoY**, and forming 101.5%/102.4% of our/consensus' FY25 Operating Profit estimate.

4Q25 PATAMI of Rp1.92tn (+86.1% YoY, +53.5% QoQ), beat our estimate. IOH booked a 23.1% YoY non-operating expenses decline in 4Q25, mainly due to lower interest expenses and higher other income. To note, IOH booked Rp130bn other income in 4Q25 vs. Rp16bn other income in 4Q24, attributed to one-off gains from asset disposal. Meanwhile, interest expenses declined 13.4% YoY in 4Q25, despite booking an interest-bearing debt drawdown of Rp623bn on a QoQ basis. On a 12-month basis, IOH booked **Rp5.51tn PATAMI in FY25, up 12.2% YoY**, and forming 111.5%/113.5% of our/consensus' FY25 PATAMI estimate.

Retain BUY. Strong earnings beat could be attributed to the lower D&A expenses, on a full year basis, and non-operating expenses (i.e. interest costs, income taxes, and minority interests). Nevertheless, IOH managed to book solid revenue growth, attributed to higher ARPU and solid data traffic growth, indicating solid operational performances likely due to purchasing power improvements. GPU-as-a-Service also started to deliver solid revenue as indicated by strong MIDI revenue adds on a QoQ basis. Overall, we saw an improvement in operational and financial performance, which we think can be sustained in 1H26.

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

FIGURE 1. ISAT: 4Q25 RESULTS

in Rp bn	4Q24	3Q25	4Q25	4Q25F	YoY	QoQ	Vs Mansek's	FY24	FY25	YoY	% of FY25F Mansek	% of FY25F Cons.
Fixed	194	206	214	191	10.0%	3.8%	11.7%	864	818	-5.4%		
Cellular	11,801	11,808	12,798	12,261	8.4%	8.4%	4.4%	47,036	47,356	0.7%		
MIDI	2,079	2,039	2,345	2,465	12.8%	15.0%	-4.9%	7,987	8,345	4.5%		
Revenue	**14,075**	**14,052**	**15,357**	**14,918**	**9.1%**	**9.3%**	**2.9%**	**55,887**	**56,518**	**1.1%**	**100.8%**	**100.3%**
Cost of services	5,993	6,061	6,226	6,138	3.9%	2.7%	1.4%	22,740	23,828	4.8%		
Personnel	950	814	1,132	872	19.2%	39.1%	29.8%	3,890	3,450	-11.3%		
Marketing	535	404	471	476	-12.0%	16.4%	-1.1%	1,993	1,677	-15.8%		
G&A	222	280	278	266	25.5%	-0.5%	4.5%	889	965	8.6%		
Operating expenses	**7,700**	**7,559**	**8,108**	**7,752**	**5.3%**	**7.3%**	**4.6%**	**29,512**	**29,921**	**1.4%**		
EBITDA	**6,375**	**6,493**	**7,249**	**7,166**	**13.7%**	**11.6%**	**1.2%**	**26,375**	**26,597**	**0.8%**	**100.3%**	**99.8%**
% margin	*45.3%*	*46.2%*	*47.2%*	*48.0%*	*191 bps*	*100 bps*	*-83 bps*	*47.2%*	*47.1%*	*-13 bps*		
D&A	3,945	3,913	3,946	4,027	0.0%	0.9%	-2.0%	15,558	15,831	1.8%		
Operating profit	**2,429**	**2,580**	**3,303**	**3,138**	**35.9%**	**28.0%**	**5.2%**	**10,817**	**10,766**	**-0.5%**	**101.5%**	**102.4%**
% margin	*17.3%*	*18.4%*	*21.5%*	*21.0%*	*425 bps*	*314 bps*	*47 bps*	*19.4%*	*19.0%*	*-31 bps*		
Gain (Loss) on forex	71	7	21	6	-70.4%	N.A.	N.A.	61	5	-91.7%		
Gain on derivatives	-	-	-	-	N.A.	N.A.	N.A.	-	-	N.A.		
Interest income	119	44	53	34	-55.2%	20.2%	56.3%	363	189	-47.8%		
Interest expense	(1,119)	(1,043)	(969)	(1,035)	-13.4%	-7.2%	-6.5%	(4,478)	(4,201)	-6.2%		
Investment income	(82)	-	(1)	(60)	-98.3%	N.A.	-97.6%	(82)	(1)	-98.3%		
Extraordinary items	-	-	-	-	N.A.	N.A.	N.A.	-	-	N.A.		
Others	16	76	130	38	N.A.	72.5%	N.A.	52	527	N.A.		
Non-operating items	**(995)**	**(917)**	**(766)**	**(1,018)**	**-23.1%**	**-16.5%**	**-24.8%**	**(4,084)**	**(3,482)**	**-14.8%**		
Pretax profit	**1,434**	**1,663**	**2,537**	**2,121**	**76.9%**	**52.5%**	**19.6%**	**6,733**	**7,285**	**8.2%**		
Taxes	321	333	563	607	75.7%	69.3%	-7.2%	1,460	1,467	0.5%		
% effective tax rate	*22.4%*	*20.0%*	*22.2%*	*28.6%*	*-15 bps*	*221 bps*	*-643 bps*	*21.7%*	*20.1%*	*-155 bps*		
Minority interest	(81)	(79)	(51)	(159)	-36.6%	-34.8%	-67.8%	(362)	(308)	-14.9%		
Net profit	**1,033**	**1,252**	**1,922**	**1,354**	**86.1%**	**53.5%**	**42.0%**	**4,911**	**5,510**	**12.2%**	**111.5%**	**113.5%**
% margin	*7.3%*	*8.9%*	*12.5%*	*9.1%*	*518 bps*	*361 bps*	*344 bps*	*8.8%*	*9.7%*	*96 bps*		
Operating stats	**4Q24**	**3Q25**	**4Q25**	**4Q25F**	**YoY**	**QoQ**		**FY24**	**FY25**	**YoY**		
Total Subscribers ('000)	**94,700**	**94,600**	**93,700**		**-1.1%**	**-1.0%**		**94,700**	**93,700**	**-1.1%**		
Voice revenues (Rp bn)	**150**	**119**	**109**	**108**	**-27.0%**	**-8.2%**		**669**	**492**	**-26.4%**		
MoU (in bn minutes)	5.3	4.7	4.7		-11.3%	0.0%		5.5	4.9	-10.9%		
Voice yield (Rp/min)	28.3	25.3	23.3		-17.6%	-8.2%		121.5	100.4	-17.4%		
Data revenues (Rp bn)	**10,881**	**10,797**	**11,647**	**11,263**	**7.0%**	**7.9%**		**44,196**	**43,342**	**-1.9%**		
Data payload (TB)	4,218,880	4,640,768	4,990,976	4,794,982	18.3%	7.5%		16,558,080	18,078,720	9.2%		
Data yield (Rp/MB)	2.6	2.3	2.3	2.3	-9.5%	0.3%		2.7	2.4	-10.2%		
ARPU blended (Rp)	**38,900**	**40,000**	**44,000**		**13.1%**	**10.0%**		**38,000**	**40,000**	**5.3%**		

Source: Company Data, Mandiri Sekuritas Research estimates

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

Mandiri Sekuritas A subsidiary of PT Bank Mandiri (Persero) Tbk
Menara Mandiri Tower I, 25th floor, Jl. Jend. Sudirman Kav. 54 – 55, Jakarta 12190, Indonesia
General: +62 21 526 3445, Fax : +62 21 527 5374 **(Equity Sales)**

INVESTMENT RATINGS: Indicators of expected total return (price appreciation plus dividend yield) within the 12-month period from the date of the last published report, are: Buy (15% or higher), Neutral (-15% to15%) and Sell (-15% or lower).

DISCLAIMER: This report is issued by PT. Mandiri Sekuritas, a member of the Indonesia Stock Exchanges (IDX). This research is for our clients only. Other than disclosures relating Mandiri Sekuritas, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification.

Our sales people, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed in this research. Any third party referenced herein, including any salespeople, traders and other professionals, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this research. Mandiri Sekuritas or any other company in the Mandiri Group make no representations or warranties about the accuracy or completeness of the data and/or information provided in this research.

This research does not attempt to distinguish between the prospects or performance of, or provide analysis of, individual companies within any industry or sector we describe. Any trading recommendation in this research relating to an equity or credit security or securities within an industry or sector is reflective of the investment theme being discussed and is not a recommendation of any such security in isolation.

This research is not an offer to sell or the solicitation of an offer to buy any security. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Financial investments and securities trading have potential for profit and risk of loss. Any action and/or decision you make based on this research is entirely at your own risk. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments. Mandiri Sekuritas is not responsible and cannot be held responsible for the use of the information and/or recommendation in this research. For further information please contact our number 62-21-5263445.

PT Mandiri Sekuritas is registered and supervised by the Financial Services Authority (Otoritas Jasa Keuangan / OJK)

ANALYSTS CERTIFICATION: Each contributor to this report hereby certifies that all the views expressed accurately reflect his or her views about the companies, securities and all pertinent variables. It is also certified that the views and recommendations contained in this report are not and will not be influenced by any part or all of his or her compensation.

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

Other Important Disclosures

Registration of non-US analysts: The author(s) of this report is not an associated person of Jefferies LLC, a FINRA member firm, and therefore is not subject to the FINRA Rule 2241 and Incorporated NYSE Rule 472 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst.

This report is produced by Mandiri Sekuritas.

This research report is intended for distribution to institutional investors as further defined below.

Research reports produced by a third party broker dealer and distributed by Jefferies Group LLC or its affiliates ("Jefferies") to Jefferies clients are distributed by one of the following Jefferies Group LLC ("Jefferies") group companies:

United States: Jefferies LLC which is an SEC registered broker-dealer and a member of FINRA (and distributed by Jefferies Research Services, LLC, an SEC registered Investment Adviser, to clients paying separately for such research).

Canada: Jefferies Securities Inc., which is an investment dealer registered in each of the thirteen Canadian jurisdictions and a dealer member of the Canadian Investment Regulatory Organization, including research reports produced jointly by Jefferies Securities Inc. and another Jefferies entity (and distributed by Jefferies Securities Inc.).

Where Jefferies Securities Inc. distributes research reports produced by Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch or Jefferies India Private Limited, you are advised that each of Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch and Jefferies India Private Limited operates as a dealer in your jurisdiction under an exemption from the dealer registration requirements contained in National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations and, as such, each of Jefferies LLC, Jefferies International Limited, Jefferies (Japan) Limited, Tokyo Branch and Jefferies India Private Limited is not required to be and is not a registered dealer or adviser in your jurisdiction. You are advised that where Jefferies LLC or Jefferies International Limited prepared this research report, it was not prepared in accordance with Canadian disclosure requirements relating to research reports in Canada.

Germany: Jefferies GmbH, which is authorized and regulated by the Bundesanstalt fuer Finanzdienstleistungsaufsicht, BaFin-ID: 10150151; registered office: Bockenheimer Landstr. 24, 60323 Frankfurt a.M., Germany; telephone: +49 (0) 69 719 1870

Hong Kong: Jefferies Hong Kong Limited, which is licensed by the Securities and Futures Commission of Hong Kong with CE number ATS546; located at Level 26, Two International Finance Center, 8 Finance Street, Central, Hong Kong; telephone: +852 3743 8000.

Singapore: Jefferies Singapore Limited, which is licensed by the Monetary Authority of Singapore; located at 10 Collyer Quay #41-01, Ocean Financial Centre, Singapore 049315, telephone: +65 6551 3950.

Japan: Jefferies (Japan) Limited, Tokyo Branch, which is a securities company registered by the Financial Services Agency of Japan and is a member of the Japan Securities Dealers Association; located at Tokyo Midtown Hibiya 30F Hibiya Mitsui Tower, 1-1-2 Yurakucho, Chiyoda-ku, Tokyo 100-0006; telephone +813 5251 6100; facsimile +813 5251 6101.

India: Jefferies India Private Limited (CIN - U74140MH2007PTC200509), licensed by the Securities and Exchange Board of India for: Stock Broker (NSE & BSE) INZ000243033, Research Analyst INH000000701 and Merchant Banker INM000011443, located at Level 16, Express Towers, Nariman Point, Mumbai 400 021, India; Tel +91 22 4356 6000. Compliance Officer name: Sanjay Pai, Tel No: +91 22 42246150, Email: spai@jefferies.com , Grievance officer name: Sanjay Pai, Tel no. +91 22 42246150, Email: compliance_india@jefferies.com . Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors.

Australia: Jefferies (Australia) Pty Limited (ACN 623 059 898), which holds an Australian financial services license (AFSL 504712) and is located at Level 20, 60 Martin Place, Sydney NSW 2000; telephone +61 2 9364 2800.

Dubai: Jefferies International Limited, Dubai branch, which is licensed by the Dubai Financial Services Authority (DFSA Reference Number F0073250; registered office Unit L31-06, L31-07, Level 31, ICD Brookfield Place, DIFC, PO Box 121208, Dubai, UAE.

This material has been distributed by Jefferies employing appropriate expertise, and in the belief that it is fair and not misleading. The information set forth herein was obtained from sources believed to be reliable, but has not been independently verified by Jefferies. Therefore, except for any obligation under applicable rules we do not guarantee its accuracy. Additional and supporting information is available upon request. Unless prohibited by the provisions of Regulation S of the U.S. Securities Act of 1933, **this material is distributed in the United States ("US"), by Jefferies LLC, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. Transactions by or on behalf of any US person may only be effected through Jefferies LLC.** In the United Kingdom and European Economic Area this report is approved for distribution by Jefferies International Limited and Jefferies GmbH and is intended for use only by persons who have, or have been assessed as having, suitable professional experience and expertise, or by persons to whom it can be otherwise lawfully distributed. For Canadian investors, this material is intended for use only by professional or institutional investors. None of the investments or investment services mentioned or described herein is available to other persons or to anyone in Canada who is not a "Designated Institution" as defined by the Securities Act (Ontario). In Singapore, Jefferies Singapore Limited is regulated by the Monetary Authority of Singapore. For investors in the Republic of Singapore, where this material is prepared and issued by a Jefferies affiliate outside of Singapore, it is distributed by JSL pursuant to Regulation 32C of the Financial Advisers Regulations.

The material contained in this document is intended solely for accredited, expert or institutional investors, as defined under the Securities and Futures Act (Cap. 289 of Singapore). If there are any matters arising from, or in connection with this material, please contact Jefferies Singapore Limited, located at 80 Raffles Place #15-20, UOB Plaza 2, Singapore 048624, telephone: +65 6551 3950. In Japan this material is issued and distributed by Jefferies (Japan) Limited to institutional investors only. In Hong Kong, this report is issued and distributed by Jefferies Hong Kong Limited and is intended for use only by professional investors as defined in the Hong Kong Securities and Futures Ordinance and its subsidiary legislation. In the Republic of China (Taiwan), this report should not be distributed. The research in relation to this report is conducted outside the PRC. This report does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. In India this report is made available by Jefferies India Private Limited. In Australia, this report is issued and/or approved for distribution by, or on behalf of, Jefferies (Australia) Securities Pty Ltd (ACN 610 977 074), which holds an Australian financial services license (AFSL 487263). It is directed solely at wholesale clients within

This document is being provided for the exclusive use of YUKI HATA at TOKIO MARINE ASSET MANAGEMENT CO LTD.

the meaning of the Corporations Act 2001 of Australia (the "Corporations Act"), in connection with their consideration of any investment or investment service that is the subject of this report. This report may contain general financial product advice. Where this report refers to a particular financial product, you should obtain a copy of the relevant product disclosure statement or offer document before making any decision in relation to the product. Recipients of this document in any other jurisdictions should inform themselves about and observe any applicable legal requirements in relation to the receipt of this document.

This report is not an offer or solicitation of an offer to buy or sell any security or derivative instrument, or to make any investment. Any opinion or estimate constitutes the author(s) best judgment as of the date of preparation and is subject to change without notice. Jefferies assumes no obligation to maintain or update this report based on subsequent information and events, and this report may differ from reports produced by Jefferies. Jefferies, its associates or affiliates, and its respective officers, directors, and employees may have long or short positions in, or may buy or sell any of the securities, derivative instruments or other investments mentioned or described herein, either as agent or as principal for their own account. Upon request Jefferies may provide specialized research products or services to certain customers focusing on the prospects for individual covered stocks as compared to other covered stocks over varying time horizons or under differing market conditions. This material does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of the investments referred to herein and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Any comments, opinions or statements made herein are those of the author(s) and may differ from the views of Jefferies, including differences in ratings or estimates provided therein. Certain companies or stocks referred to in this report may also be covered under research produced and issued by Jefferies and its affiliated entities, which can be found on Jefferies Global Markets Portal and/or other distribution platforms though which you receive Jefferies research.

This report may contain information obtained from third parties, including ratings from credit ratings agencies such as Standard & Poor's. Reproduction and distribution of third party content in any form is prohibited except with the prior written permission of the related third party. Third party content providers do not guarantee the accuracy, completeness, timeliness or availability of any information, including ratings, and are not responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use of such content. Third party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third party content providers shall not be liable for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice.

Research reports are disseminated and available primarily electronically, and, in some cases, in printed form. Electronic research is simultaneously available to all Jefferies clients. This report or any portion hereof may not be reprinted, sold or redistributed without the written consent of Jefferies. Neither Jefferies nor any officer nor employee of Jefferies accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this report or its contents.

For Important Disclosure information, please visit our website at https://javatar.bluematrix.com/sellside/Disclosures.action or call 1.888.JEFFERIES

© 2026 Jefferies